29. ____ With the payment of a liability by cheque:
   a. the asset of bank is increased and the liability of creditor is reduced
   b. the asset of bank is reduced, and the liability of the debtor is reduced
   c. the asset of bank is reduced, and the liability of the creditor is reduced
   d. the asset of bank is increased, and the liability of the debtor is increased
   e. none of the above

30. ____ In cost accounting, variance is the:
   a. difference between the estimated factory expense and actual factory expense
   b. variation of overhead cost with time
   c. variation of factory cost with overhead cost
   d. difference between factory cost and overhead
   e. none of the above

31. ____ Shares in a corporation's equity that usually give stockholders both voting rights and a residual equity interest is referred to as:
   a. preferred stock
   b. common stock
   c. retained earnings
   d. bonus stock
   e. none of the above

32. ____ When the owner of a business pays creditor from private money outside the firm:
   a. there is a decrease in liability and capital remains the same
   b. there is an increase in liability and an increase in capital
   c. there is a decrease in liability and an increase in capital
   d. there is an increase in liability and an increase in capital
   e. none of the above

33. ____ If profit is to be maximised, management must minimise the proportion of capital invested in:
   a. current assets
   b. fixed assets
   c. stock market
   d. retained earnings
   e. none of the above

34. ____ In business, ***Other People's Money*** is commonly called
   a. operating money
   b. activity finance
   c. monetary booster
   d. financial leverage
   e. none of the above

58. ____ When probabilities can be assigned to expected outcomes, decisions are made under what co
   a. certainty
   b. perfection
   c. uncertainty
   d. risk
   e. rough

59. ____ A manager who determines the worst outcome for each alternative and chooses the alternative with the best outcome is using _____ decision criterion.
   a. minimax
   b. maximin
   c. maximax
   d. regret
   e. Laplace

60. ____ The first step in the PERT/CPM project scheduling process is _____.
   a. drawing the network diagram.
   b. determining the activities that make up the project.
   c. doing the time – cost trade-off.
   d. doing the forward and backward pass
   e. putting together the project team

61. ____ What is the equivalence of ¢500,000 five years ago at 20% compound interest?
   a. ¢ 200, 950
   b. ¢340,400
   c. ¢390,100
   d. ¢ 1, 244, 150
   e. ¢136,120

62. ____ How many years will it take for ¢20M to double at a compound-interest rate of 10% per year?
   a. 20.1 years
   b. 13.1 years
   c. 15.8 years
   d. 15.5 years
   e. 7.2 years

63. ____ Past happenings are used to predict future events in:
   a. intuitive forecasts.
   b. time series forecasts.
   c. simulation forecasts.
   d. causal forecasts
   e. qualitative forecasting

64. ____ The vision of an organization is established in its:
   a. operational
   b. administrative plan.
   c. tactical plan.
   d. service plan.
   e. strategic plan.

he _____ chart is probably the first planning and control diagram that allows managers to visualize the interrelationships of all segments of a project.

a. Process
b. PERT
c. Network
d. Gantt
e. CPM

___ Decisions under _____ are those in which the external conditions are identified and very predictable.

a. certainty
b. risk
c. uncertainty
d. perfection
e. surety

7. ___ A highly conservative firm that always seeks to choose the "least cost" alternative in any decision situation will use which of the following types of decision-making criterion?

a. maximin
b. minimum
c. maximax
d. regret
e. minimax

68. ___ George Mensah is completing his university education and needs to plan his career path. He will begin by:

a. researching the net
b. evaluating the decision situation.
c. formulating goals.
d. determining results.
e. analyzing alternatives.

69. ___ In a cash-flow diagram the following variables are used:-

a. P, F, X, i, and n
b. P, F, i, and n
c. P, F, A, i, and n
d. P, X, A, i and n
e. A, F, Y, t and i

70. ___ A graphic display of all alternatives available to a manager can be presented through the use of a decision

a. circuit
b. chart.
c. tree.
d. network
e. map

71. ____ The function of _____ control is to assure that the firm has adequate supplies of stocks to s production and sales requirements.
   a. production
   b. quality
   c. stocking
   d. inventory
   e. materials

72. ____ If a young woman placed an amount of money in a bank account and wanted the amount to double in 6 years, what should be the interest rate on that account?
   a. 10%
   b. 6%
   c. 12%
   d. 5%
   e. 20%

73. ____ The following are measures of worth except
   a. Rate Of Return
   b. Minimum Attractive Rate of Return
   c. Annual Worth
   d. Capitalized Cost
   e. Present Worth

74. ____ What is the correct numerical value for the following factor : (A/F, 30%, 22)
   a. 0.30094
   b. 1067.28
   c. 0.0031
   d. 0.0356
   e. 0.00094

75. ____ Evergreen Inc. invested $50,000 on a venture just a year ago and has reported a profit of $7500. What is the annual rate that the investment is returning?
   a. 27%
   b. 25%
   c. 15%
   d. 10%
   e. 22%

76. ____ At 25% simple interest ¢3.0M is equivalent to _____ in five years.
   a. ¢8.175M
   b. ¢5.00M
   c. ¢6.175M
   d. ¢5.10M
   e. ¢6.75M

___ Which of the following types of skills are of greatest importance to top-level managers?
a. communication
b. human relations
c. technical
d. writing
e. conceptual

78. ___ A manager who recognizes problems and opportunities and initiates action that will move the organization in the desired direction is acting as a(n)
a. resource allocator.
b. figurehead
c. entrepreneur
d. resource acquirer
e. disturbance handler.

79. ___ Tom Cruz is monitoring his firm's sales. At present, he is considering several modifications that that may be required to allow the firm to reach its revenue goals. He is engaged in a (an) _____ activity.
a. organizing
b. forecasting
c. planning
d. implementation
e. control

80. ___ A _____ is a formal plan expressed in numerical terms.
a. performance evaluation
b. budget
c. financial statement
d. production schedule
e. proposal

Use the following information to answer questions 81 - 85
A decision maker, faced with four decision alternatives and four states of nature develops the following payoff table:

		States of Nature			
		S_1	S_2	S_3	S_4
Decisions	d_1	14	9	10	5
	d_2	11	10	8	7
	d_3	9	10	10	11
	d_4	8	10	11	13

81. ___ What is the recommended decision using maximax criteria
a. d_2
b. d_4
c. d_1
d. no decision can be reached
e. d_3

82. ____ What is the recommended decision using maximin criteria?
   a. d_1
   b. d_3
   c. d_4
   d. d_2
   e. no decision can be reached

83. ____ What is the recommended decision using Laplace criteria?
   a. d_4
   b. d_1
   c. d_2
   d. d_3
   e. no decision can be reached

84. ____ Under what condition are these decisions being made?
   a. certainty
   b. risk
   c. upheavals
   d. uncertainty
   e. peace and security

85. ____ The decision maker obtains information that enables the following probability estimates to be made: $P(S_1) = 0.5$, $P(S_2) = 0.2$, $P(S_3) = 0.2$, $P(S_4) = 0.1$, use the expected monetary criterion to determine the optimal decision.
   a. d_1
   b. d_2
   c. d_3
   d. d_4
   e. None of the above

86. ____ The control process begins when:
   a. the fiscal year begins.
   b. the end of the fiscal year arrives.
   c. standards are set.
   d. a problem is noticed
   e. a crisis begins.

87. ____ Standard cost analysis is a control measure that is used in
   a. high growth businesses
   b. low growth business environments
   c. declining businesses as a last ditch effort to save them
   d. manufacturing firms
   e. uncertain times

____ The _____ method of capital budgeting ranks alternative projects according to the time each takes to recover the initial cost.
a. standard cost
b. present worth
c. break even
d. payback
e. capital outlay

89. ____ The three elements of manufacturing costs are
a. wages , material and overhead
b. material, lubricants and labour
c. labour, material and services
d. direct labour, direct material and marketing
e. direct labour, direct material and overhead

90. ____ Which of the following is not a basic assumption of PERT?
a. no activity in the network may be repeated
b. each activity in the network must be performed
c. activity completion times are described by Beta probability distribution
d. activities have no specifiable precedence relationship
e. activity times can be estimated

91. ____ In PERT/CPM, free slack
a is the flexibility that a project has in terms of time
b. the amount of time a task maybe delayed without changing the overall project completion
c. is the freedom to start or end a project
d. the amount of time a task may be delayed without affecting any other tasks on the network
e. all of the above

92. ____ A dummy activity is required when
a. the network contains two or more activities that have identical starting and ending events
b. Two or more activities have the same starting events
c. Two or more activities have the same ending events
d. An activity has to be performed in place of another one
e. Precedence relationships have to be determined

93. ____ PERT analysis computes the variance of the total project completion time as
a. the sum of the variances of all activities on the project
b. the sum of the variances of all activities on the critical path
c. the sum of the variances of all activities not on the critical path
d. variance of the final activity on the project
e. none of the above

94. ____ With the AOA convention of network diagramming, an event
a. is a task of subprojects that must be completed
b. is an action that is memorable in a project
c. marks the beginning or end of a project
d. marks the start or completion of a task
e. the same as the project

95. ____ Normal times given in a project represent
   a. the time an activity will take under usual working conditions
   b. the time that is taken most often for the activities
   c. the time that the project team determines is appropriate
   d. each worker's average time
   e. the time that is determined by the organization

96. ____ The "heart and soul" of management is
   a. leading
   b. organizing
   c. forecasting
   d. planning
   e. controlling

97. ____ The activities that are examined in order to reduce the duration of a project are
   a. all activities on the project
   b. the last activity on the project
   c. activities on the critical path
   d. activities at the beginning of the project
   e. activities on all events

98. ____ In decision theory, an occurrence over which the decision maker has no control is called a (an)
   a. event
   b. state of nature
   c. alternative
   d. activity
   e. decision

99. ____ In decision theory, a course of action or a strategy that may be chosen by a decision maker is called a (an)
   a. event
   b. state of nature
   c. alternative
   d. activity
   e. node

100. ____ What are the characteristics which a project must have for critical path analysis to be applicable?
   a. Well defined jobs or tasks that have specific time durations, tasks or jobs must be independent, jobs or tasks must be ordered.
   b. A clear beginning and ending, dependent tasks or jobs and a project manager.
   c. tasks or jobs must be dependent, they must have an uncertain time duration and jobs or tasks must be ordered.
   d. well defined tasks or jobs, tasks or jobs must have three time estimates and they must follow a certain order
   e. a well defined project organization, a well defined set of activities with time estimates, a precedence relationship for the activities.

The questions that follow (101 – 109) are statements followed by a number of completions that make the statement true. Use the key provided to choose the option that best answers the question.

KEY

WRITE

a	if	i only	IS
b		i. and ii only	TRUE
c		i., ii., and iii only	
d		i, ii, iii and iv only	
e		i. and iv only	

101. ____ Projects can be said to be:
- i. one time occurrences
- ii. repeated or transferred to other settings or products
- iii. of a specific duration
- iv. done by companies all the time

102. ____ In any project, the things that are of concern are:
- i. planning, scheduling and control
- ii. time, cost and labour
- iii. type of project organization
- iv. work breakdown structure, statement of work and milestones

103. ____ Capital acquisitions in a firm are controlled by
- i. establishing criteria of potential profitability
- ii. meeting the criteria before proposals are organized
- iii. using statistical sampling
- iv. budgeting cash and working capital

104. ____ The discounted rate of return
- i. is a measurement of profitability
- ii. takes into account the time value of money
- iii. uses cash flows
- iv. can be applied to virtually any capital investment project

105. ____ The pay-back method
- i. is the simplest criteria of profitability
- ii. has no limitations as a standard for evaluating capital resources
- iii. is the least used method of financial analysis for capital investment decisions
- iv. does not consider the time value of money

106. ____ Program Evaluation and Review Technique
- i. was developed in 1558
- ii. was developed for planning, scheduling and controlling the Polaris Missile Project
- iii. uses three time estimates
- iv. uses expected activity times

KEY

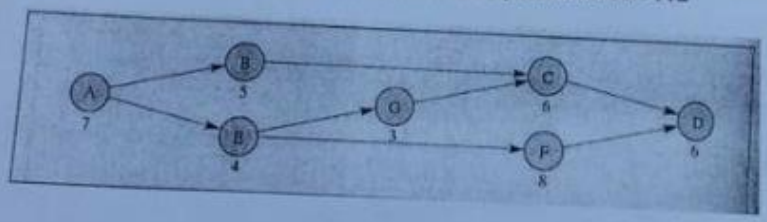
WRITE a if i only IS
b i. and ii only TRUE
c i., ii., and iii only
d i, ii, iii and iv only
e i. and iv only

107. ____ The planning function requires managers to make decisions about
i. objectives
ii. actions
iii. resources
iv. implementation

108. ____ Forecasting is the process of
i. using past and current information to predict future events
ii. determining events promptly
iii. using statistical sampling to predict future events
iv. budgeting cash and working capital

109. ____ Financial Resources in a firm are controlled by
i. budgetting
ii. meeting the criteria before proposals are organized
iii. using statistical sampling
iv. budgeting cash and working capital

Use the network diagram above to answer questions 110 - 112



110. ____ What is the critical path?
a. A-E-G-C-D
b. A-B-C-D
c. A-E-F-D
d. A-B-C-F-D
e. none of the above

111. ____ What is the project completion time?
a. 24 weeks
b. 25 weeks
c. 26 weeks
d. 30 weeks
e. none of the above

___ Which of the following statements is true?
a. Leaders are born, not made.
b. Management is nothing more than common sense.
c. Many firms succeed in spite of their management.
d. Management principles can be learned and applied
e. The study of management is not necessary since it is common sense and instinct

113. ___ Normal time given in projects represent
a. time an activity will take under usual working conditions
b. time that is taken most often for all activities
c. time that the project team determines as appropriate
d. each worker's average time
e. the total time for the project

114. ___ In the planning process, assessing a company's present situation involves doing a (an)
a. CPM analysis
b. PERT analysis
c. SWOT analysis
d. Work Breakdown Structure
e. Forecast

115. ___ An activity in a PERT analysis has the following times of completion: a = 2, m = 3 and b = 4. Find the expected time and variance for this activity.
a. 4.5 and 0.44
b. 3 and 0.11
c. 2 and 0.00
d. 0.3 and 0.11
e. 4.0 and 2.0

116. ___ Ways of avoiding the late completion of a project include:
a. Getting information about earliest start, earliest finish, latest start, latest finish
b. starting the project earlier
c. skipping some of the activities
d. reducing all activity times
e. crashing activities on the critical path

117. ___ The earliest finish time for an activity is calculated as follows:
a. EF = LF + slack
b. EF = ES + activity duration
c. EF = LS – activity duration
d. EF = ES – activity duration
e. EF = ES + slack

118. ___ In AOA precedence diagrams, the arrow and the circles represent _____ respectively.
a. events and activities
b. dummy activities and precedence relationships
c. relationships and events
d. activities and events
e. transportations and operations

119. ____ In precedence diagrams using the AON convention, the circles are known as:

a. events
b. nodes
c. milestones
d. activities
e. operations

120. ____ A statement of work for a project

a. describes the objectives to be achieved and the work to be done
b. describes the objectives to be achieved, the work to be done and by whom
c. determines the individual activities or tasks that must be performed as part of the project.
d. lists the resources needed to complete the project
e. declares that a project has began